

ance measures, focussing on delivering seamless digital experiences.

Speaking about the digitalisation efforts, Nidhu Saxena, Managing Director & CEO, Bank of Maharashtra, says: “The banking sector is poised to grow at a rapid pace by digitalising financial services dissemination, further formalising credit to micro, small, and medium enterprises (MSMEs), adopting innovative digital operating models, adapting to the continuously evolving landscape, and driving consumption-fuelled growth for our economy.”

The bank’s financial metrics paint a picture of resilience and growth. Its balance sheet grew by an impressive 92.65% from ₹1.6 lakh crore in March 2019 to ₹3.2 lakh crore in September 2024. Similarly, business volumes surged from ₹2.3 lakh crore to ₹4.9 lakh crore over the same period, reflecting a strong growth trajectory in loans and deposits.

The bank’s success in maintaining a provision coverage ratio (PCR) of 98.3%—the highest among PSBs—has ensured robust financial stability. Measures like the appointment of resolution agents for high-value NPAs, the introduction of recovery schemes like the Maha Svanidhi Yojana, and a strengthened loan review mechanism have contributed to significant improvements in asset quality.

After its troubles in the past, the bank has taken a proactive approach to building a healthy loan portfolio. It has put in place rigorous underwriting standards, including credit score benchmarks, to ensure approval of only quality loans, sources say. This has led to significant improvements in asset quality, with

gross NPAs and net NPAs standing at an industry-low of 1.8% and 0.2%, respectively, as of the second quarter of financial year 2024-25.

“We have taken steps to restrict fresh delinquencies, including the use of credit monitors, strengthening our loan review mechanism, broadening our monitoring framework with more objective asset performance review reports for spotting signals of early stress, identifying accounts for timely restructuring, strengthening our NPA recovery mechanism, assessing need-based credit limits, and regular follow-up for timely recovery of overdues,” says Saxena.

To further its growth agenda,

Karkera, Head of Research at digital wealth management platform Fisdom, says the recent cut in cash reserve ratio (CRR) has provided mid-sized PSBs a temporary reprieve as they grapple with systemic pressures on margins and net interest income.

“The combination of rising deposit costs and slowing inflows of fresh low-cost deposits—amid strong credit demand—suggests these challenges are likely to persist through the coming quarters. Adding to the strain are concerns over potential NPAs, particularly from priority lending sectors, alongside stringent regulatory

TOP 5 MID-SIZED INDIAN BANKS

RANK	BANKS	TOTAL ASSETS (₹ CR)	NET NPA (%)	COST TO INCOME RATIO	ROCE (%)	CAPITAL ADEQUACY (%)
1	Bank of Maharashtra	3,07,138	0.20%	0.38	22.98%	17.4%
2	IDBI Bank	3,63,190	0.34%	0.46	11.84%	22.3%
3	Indian Overseas Bank	3,52,034	0.57%	0.56	9.98%	17.3%
4	Federal Bank	3,08,312	0.60%	0.55	14.71%	16.1%
5	IDFC First Bank	2,96,115	0.60%	0.72	10.22%	16.1%

Data for FY24 Source BT-KPMG Survey of India's Best Banks and NBFCs 2023-24

the bank has prioritised the retail, agriculture, and MSME (RAM) sectors, which now comprise 60% of total advances (as of September 30, 2024).

The bank has also expanded its service delivery network, with more than 2,500 branches nationwide. Plans are underway to add 200 branches per year, with a goal of building 1,000 new branches over the next five years.

However, there are some lingering concerns for the sector. Nirav

norms, which do not make life any easier for these banks,” Karkera adds.

The bank’s growth exemplifies the power of strategic vision and operational agility. With its focus on digital excellence, customer-centricity, and robust financial health, the bank is well-equipped to continue its journey as a trusted institution in the years to come. **BT**

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